

Multiple Choice (10 marks)

1. If the world price of copper exceeds the domestic (U.S.) price of copper we would expect
 - (a) the demand for U.S. copper to fall.
 - (b) the United States to impose a tariff on imported copper to protect domestic producers.
 - (c) the United States to subsidize domestic copper producers.
 - (d) the United States to import more copper.
 - (e) a decrease in the U.S. production of copper.
2. Consider a series that follows an MA(1) with zero mean and a moving average coefficient of 0.4. What is the value of the autocovariance at lag 1?
 - (a) 1
 - (b) 2
 - (c) -0.4
 - (d) The autocovariance at lag 1 is undefined for an MA(1) series.
 - (e) 0.2
3. If nominal GDP equals 5000 and real GDP equals 4000 then the GDP Deflator equals
 - (a) 0.5
 - (b) 125
 - (c) 500
 - (d) 0.8
 - (e) 100
4. Suppose real GDP increases. We can conclude without a doubt that
 - (a) the average wage is higher.
 - (b) the national debt is lower.
 - (c) production is higher.
 - (d) prices are higher.
 - (e) employment is higher.
5. Suppose a commercial bank's required reserves are \$100,000, and the required reserve ratio is 16%. What must its deposits be?

- (a) \$750,000
- (b) \$900,000
- (c) \$1,000,000
- (d) \$800,000
- (e) \$600,000

True / False (10 marks)

Answer True or False

- 6. True or False: Psychic income is defined as the revenue generated from investments in psychic research or related activities.
- 7. True or False: An increase in the wage rate paid to workers will shift the market demand curve for labor to the left.
- 8. True or False: A value-added tax is imposed exclusively on luxury items at the point of sale.
- 9. True or False: Augmenting the Dickey-Fuller test regression guarantees that the test regression residuals are normally distributed.
- 10. True or False: Normal goods exhibit a negative income elasticity, indicating demand decreases with an increase in consumer income.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the advantages of using money in trade compared to barter, focusing on how money facilitates transactions and broadens trading opportunities.
- 12. Discuss the concepts of 'withdrawals' and 'injections' in the income-expenditure flow, analyzing their impact on the overall economy.

End of Paper